

Effectuation

Saras D. Sarasvathy

DEFINITION

Expert entrepreneurs start from means and control the future rather than predict it.

KEY POINTS

- Bird-in-hand: start with who you are, know, and know of
- Affordable loss, not expected return, bounds commitment
- Crazy-quilt of partners; leverage surprise (lemonade)
- Use to explain venture creation under true uncertainty

REFERENCE

Sarasvathy, S.D. (2001) 'Causation and effectuation', *Academy of Management Review*, 26(2), pp. 243-263.